Illustration of Valuing Stock in-Trade at Individual and Global Method

Items of Stock	Cost ₹	Market Price ₹	Lower of Cost or Market Price ₹
1	250	300	250
2	400	350	350
3	550	520	520
4	650	775	650
Valuation	**1850**	**1945**	**1770**

- Value of Stock at Individual Method is ₹ 1,770/- which is the total of individual item valued at cost or market price whichever is less.
- Value of Stock at Global Method is ₹ 1,850/- which is valued at the lower of the aggregate value of cost price and market price.

However, the following methods are used in determining cost price and market price of stock.

Methods of Calculating Cost Price: In the context of valuation of inventories, any one of the following methods is adopted to determine the cost price of stock.

1. **Unit Cost Method or Actual Cost Method:** In this method, each item or batch of goods is valued at the actual price at which it was purchased. This method can only be applied where goods have been purchased in different lots. The cost price of unsold stock will be the cost price at which such a lot is acquired.
2. **First in First Out Method (FIFO):** In this method, issues are priced in the order of the purchase lots. The price of the first lot is taken first, and when that lot is exhausted, the price of the next lot is taken and so on. Hence, items issued are valued at the earliest price or cost. As materials purchased at earlier rates are charged first, the value of closing stock is more or less nearer to the current market price.
3. **Last in First Out Method (LIFO):** In this method, issues are priced in the reverse order of purchase. The price of the last lot is taken first, and when that lot is exhausted, the price of the previous lot is taken and so on. Hence, items issued are valued at the latest price or cost. The inventory in hand remaining unsold is assumed to be out of the earliest lot and valued at the earliest price paid or cost incurred for the same.

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